

StockPilot — Founders' IP & Equity Framework

Date: 2026-06-19 **Prepared for:** Branden Vincent-Walker and Andrew Rosas **Status:** Plain-English alignment document & lawyer-briefing term sheet — **NOT a binding agreement and NOT legal advice**

READ THIS FIRST — disclaimer. This document is a plain-English summary of the founders' *intent*, written to (a) get the two founders on the same page and (b) brief a startup attorney so the real, binding documents can be drafted. It is **not legal or tax advice** and creates **no binding obligation**. Nothing here is effective until a qualified startup lawyer reviews it and the founders sign the actual incorporation, IP-assignment, stock-purchase, and vesting documents. Where this doc says "recommended," it reflects standard U.S. startup practice, not a legal opinion. **Have a lawyer formalize everything before relying on it.**

1. The core question, answered

"Can we be 50/50 but I own the IP?"

No — and you don't want to. In a startup that intends to raise money, the **company owns 100% of the intellectual property**, not either founder personally. Here's the distinction that matters:

- **Equity** = what % of the *company* each founder owns (the cap table).
- **IP ownership** = who owns the code, brand, designs, and domain.

The product (StockPilot) is owned by **the company**. Both founders **assign** all their work into the company. Then the **50/50 equity split** governs how much of that company — and therefore, indirectly, the IP — each founder owns.

Why personal IP ownership is the wrong structure:

1. **It kills fundraising.** On day one of due diligence, investors verify the company owns all of its IP. If a founder personally holds the core IP and licenses it to the company, the deal dies — no one funds a company that doesn't own its own product.
2. **It's misaligned.** A co-founder owning 50% of a company that doesn't own its product is an unstable arrangement that invites disputes.

How Branden's authorship is protected instead: Branden built the entire platform, and that contribution is recognized through his **50% of the company** (which owns the IP), plus the role/control terms below — not through holding the IP personally. The fair, fundable way to be recognized for building the product is **equity**, not a personal IP lease.

2. Parties & roles

Founder	Role	Primary responsibility
Branden Vincent-Walker	Co-Founder & CEO / CTO	Product, engineering, the StockPilot platform, technical direction, the App Store / infrastructure
Andrew Rosas ("Manager" / Implementation Lead)	Co-Founder & COO / Head of Implementation	Customer implementation & onboarding, "boots on the ground" rollout, customer success, go-to-market execution once investment is in

Both founders' contributions are treated as **equally valuable**: one builds the product, the other gets it adopted and running in the field. That mutual recognition is the basis for the 50/50 split below.

3. The Company

- A new legal entity will be formed to own the business and all its IP.
- **Recommended: a Delaware C-Corporation** if you intend to raise venture/angel capital (it's what investors expect and what standard financing docs assume). An LLC is simpler/cheaper but is usually converted to a C-corp before a priced round — ask the lawyer which fits your timeline.
- All existing assets move into the company: the **StockPilot codebase**, the **stockpilotusa.com domain**, the **iOS app / App Store Connect listing**, brand/marks, designs, and any accounts.

4. IP ownership (the heart of this doc)

1. **The company owns all IP.** Source code, the mobile and web apps, designs, the brand and name, the domain, documentation, and anything either founder creates for the business.
2. **Both founders sign IP-Assignment Agreements** transferring everything they've built — and everything they build going forward — to the company. This is non-negotiable for a raise.
3. **Branden assigns the pre-existing StockPilot product to the company** in exchange for his founder shares. (Translation: he isn't giving it away — he's contributing it *for* his equity. The lawyer documents this as a contribution/assignment tied to the stock grant.)
4. **Neither founder personally retains or licenses any IP to the company.** No "I own it and the company rents it" arrangements.
5. **Third-party / open-source components** keep their own licenses; the company owns the original work and the right to use the product as a whole. (Note for the lawyer: confirm no employer-IP or prior-engagement claims attach to anything either founder built — a common diligence snag.)

5. Equity split — 50 / 50

- **Founders' equity is split 50% / 50%.**
- **Rationale (recorded so it's clear later):** Branden built and maintains the platform; the Co-Founder leads implementation, onboarding, and field rollout — the work that turns the product into adopted, paying deployments once investors are in. Both are essential; the split reflects that.
- This 50/50 is of the **founder pool**. When investors come in, **both founders dilute equally** — e.g., if investors take 20%, the founders split the remaining 80% as 40% / 40%. (You don't "lose half" —

you each give up the same proportion.)

- **Consider before signing:** a literal 50/50 with no tie-breaker can **deadlock** the company on a disagreement. See §7 (Decision-making) — address this now, while you're aligned, not during a fight.

6. Vesting (protects *both* of you)

Even at 50/50, founders' shares should **vest over time** rather than being owned outright on day one.

- **Standard: 4-year vesting with a 1-year cliff**, then monthly. Meaning: nothing vests until you've each been in for 1 year (the "cliff"); then 1/48th vests each month until fully vested at 4 years.
- **Why it protects you:** if either founder leaves (or stops contributing) after, say, 8 months, they don't walk away owning 50% of the company for almost no work — their unvested shares return to the company. It protects the person who stays. **This is the single most important thing to have in place before a raise**, and investors will require it.
- **Credit for work already done (discuss with lawyer):** because Branden has already built the product and both of you have been working, you can **start the vesting clock earlier than incorporation** (a "vesting commencement date" backdated to when work began) and/or vest a chunk **upfront** to recognize the IP already contributed. Make this explicit and equal-handed.
- **⚠️ 83(b) election — time-critical.** When you receive restricted (vesting) stock, each founder should file an **83(b) election with the IRS within 30 days** of the grant. Missing this 30-day window can create a large, avoidable tax bill later. **Do not let this slip** — the lawyer/accountant will prepare it, but the 30-day clock is hard.

7. Decision-making & deadlock (a must for 50/50)

A 50/50 split with no mechanism can freeze the company. Decide now how you'll resolve disagreements. Common options (pick with the lawyer):

- **Defined domains:** each founder has final say in their lane (Branden: product/engineering/technical; Co-Founder: implementation/customer ops), so most decisions never need a vote.
- **CEO tie-breaker** on day-to-day operating decisions, with a short list of **"major decisions"** (raising money, selling the company, taking on debt, issuing equity, hiring/firing the other founder) that require **both** founders' consent.
- **Board structure** post-investment (who sits on the board, investor seat, independent seat).
- A **deadlock / dispute-resolution clause** (mediation, then a buy-sell mechanism) as a backstop.

8. Founder departure ("leaver") terms

Spell out what happens if a founder leaves:

- **Unvested shares** return to the company in all cases.
- **"Good leaver"** (leaves on good terms / by mutual agreement): keeps vested shares.
- **"Bad leaver"** (quits early, is terminated for cause, breaches the agreement): the company may have the right to **repurchase** even some vested shares (terms set with the lawyer).
- **Continued IP assignment & confidentiality** survive departure.

9. Other founder-agreement terms to include

- **Confidentiality / NDA** between founders and the company.
 - **Non-solicitation** (don't poach the company's people/customers) and, where legally enforceable, reasonable non-compete.
 - **Time commitment & "no side IP"** — work created for StockPilot belongs to StockPilot; outside projects don't bleed in.
 - **Expense / capital contribution** handling (who's put in money or paid for what — e.g., Apple Developer fees, hosting, the \$2.5K Sage license if purchased — track it; it can be reimbursed or counted as a loan/contribution).
 - **Founder compensation** (likely \$0 or minimal until funded — write it down).
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10. What to take to the lawyer (checklist)

1. Form the entity (**Delaware C-corp** recommended if raising).
2. **IP-Assignment Agreements** from both founders (Branden assigns the existing StockPilot product to the company for his shares).
3. **Founder Stock Purchase Agreements** with **4-year / 1-year-cliff vesting** for both (discuss a backdated vesting start + upfront credit for work already done).
4. **File 83(b) elections within 30 days** of the stock grants. 🕒
5. **Founders' Agreement** covering roles, the 50/50 split, decision-making/deadlock, and leaver terms.
6. Cap table set up (founders now; reserve an **option pool**, ~10–15%, for future hires — investors will ask).
7. Confirm no prior-employer or third-party IP claims attach to anything built.
8. Confidentiality / non-solicit agreements.

Cost/where: a founder package (incorporation + IP assignment + vesting + founders' agreement) typically runs **~\$1,000–2,500** at a startup-focused firm, or less via **Clerky** or **Stripe Atlas** templates. This is cheap insurance relative to a blown raise or a co-founder dispute.

11. One-paragraph summary (the "so what")

You and your co-founder split the **company 50/50**. The **company owns 100% of the IP** — both of you assign your work to it, and Branden contributes the existing StockPilot product in exchange for his founder shares. Your "ownership" of what you built is your **50% of the company that owns it**, not personal possession of the code — which is exactly what makes the company fundable. Both founders' shares **vest over 4 years (1-year cliff)** so neither can walk early with a big stake, and you each **file an 83(b) within 30 days**. Because 50/50 can deadlock, you agree up front on **who decides what** and which decisions need both of you. A startup lawyer turns this into the binding documents.

Again: not legal or tax advice. This is a briefing/alignment document. Engage a qualified startup attorney (and, for the 83(b)/tax pieces, an accountant) before signing anything.